Property Investment

Our overall strategy is to continue to increase our investment in quality industrial properties in both existing and select new markets and to continue to increase our investment in on-campus or hospital affiliated medical office properties. Pursuant to this strategy, we evaluate development and acquisition opportunities based upon our market outlook, including general economic conditions, supply and long-term growth potential. Our ability to make future property investments is dependent upon identifying suitable acquisition and development opportunities, and our continued access to our longer-term sources of liquidity, including issuances of debt or equity securities as well as generating cash flow by disposing of selected properties.

Leasing/Capital Costs

Tenant improvements and lease-related costs pertaining to our initial leasing of newly completed space, or vacant space in acquired properties, are referred to as first generation expenditures. Such first generation expenditures for tenant improvements are included within "development of real estate investments" in our Consolidated Statements of Cash Flows, while such expenditures for lease-related costs are included within "other deferred leasing costs."

Cash expenditures related to the construction of a building's shell, as well as the associated site improvements, are also included within "development of real estate investments" in our Consolidated Statements of Cash Flows.

Tenant improvements and leasing costs to re-let rental space that we previously leased to tenants are referred to as second generation expenditures. Building improvements that are not specific to any tenant, but serve to improve integral components of our real estate properties, are also second generation expenditures. One of the principal uses of our liquidity is to fund the second generation leasing/capital expenditures of our real estate investments.

The following table summarizes our second generation capital expenditures by type of expenditure, as well as capital expenditures for the development of real estate investments and for other deferred leasing costs (in thousands):

	2016	2015	2014
Second generation tenant improvements	**$ 24,622**	$ 28,681	$ 51,699
Second generation leasing costs	**27,029**	24,471	37,898
Building improvements	**7,698**	8,748	9,224
Total second generation capital expenditures	**$ 59,349**	$ 61,900	$ 98,821
Development of real estate investments	**$ 401,442**	$ 370,466	$ 446,722
Other deferred leasing costs	**$ 38,410**	$ 30,790	$ 31,503

Second generation capital expenditures were significantly lower during 2016 and 2015, compared to 2014, as the result of significant dispositions of office properties, which were more capital intensive to re-lease than industrial properties.

We had wholly owned properties under development with an expected cost of $713.1 million at December 31, 2016, compared to projects with an expected cost of $599.8 million and $470.2 million at December 31, 2015 and 2014, respectively.

The capital expenditures in the table above include the capitalization of internal overhead costs. We capitalized $24.0 million, $21.7 million and $23.9 million of overhead costs related to leasing activities, including both first and second generation leases, during the years ended December 31, 2016, 2015 and 2014, respectively. We capitalized $25.9 million, $23.8 million and $28.8 million of overhead costs related to development activities, including both development and tenant improvement projects on first and second generation space, during the years ended December 31, 2016, 2015 and 2014, respectively. Combined overhead costs capitalized to leasing and development totaled 33.5%, 29.0% and 31.4% of our overall pool of overhead costs at December 31, 2016, 2015 and 2014, respectively. Further discussion of the capitalization of overhead costs can be found in the year-to-year comparisons of general and administrative expenses and Critical Accounting Policies sections of this Item 7.